COMMITTEE AMENDMENT

HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend HB4305 ______________________________
Of the printed Bill

Page __________ Section __________ Lines ______________
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Amendment submitted by: Jason Blair

Adopted: ______________________________

____
Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

PROPOSED COMMITTEE SUBSTITUTE
FOR
HOUSE BILL NO. 4305 By: Blair

PROPOSED COMMITTEE SUBSTITUTE

An Act relating to revenue and taxation; establishing valuation method for certain real property for purposes of ad valorem taxation; defining terms; providing for requirements of real property to qualify for valuation method; mandating county assessor to determine fair cash value according to valuation method; prohibiting county assessor from considering value of certain tax credits; requiring county assessor to determine formal process for determining market-derived capitalization rates; requiring organization to deliver audit to county assessor; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. As used in this act:

1. "Active construction" means any property that is being constructed or renovated that has yet to place in service all of its buildings;

2. "Audit" means an audit of the financial operations of the property provided by a third-party certified public accountant or financial statements certified by the organization to be true and accurate;

3. "Lease-up" means any property that has an actual occupancy of less than ninety percent (90%), that is under or has been under active construction, and is in the process of leasing units;

4. "Net operating income" means gross restricted rent income from the property minus operating expenses and replacement reserve deposits, before debt service, depreciation, amortization, capital expenditures, and income taxes;

5. "Organization" means a property owner meeting the requirements under subsection B of this section; and

6. "Restricted rent" means the actual rental rates that are restricted by the programs described in subsection B of this section.

B. This act shall only apply to real property owned by an organization:

1. For the purpose of renting the property to a low income or moderate income individual or family who satisfies the organization's income eligibility requirements;

2. That was financed in whole or in part through allocation of the federal low-income housing tax credit authorized pursuant to Section 43 of the Internal Revenue Code, 26 U.S.C., Section 42, and is subject to a land use agreement or regulatory agreement that has not expired or been terminated;

3. That does not receive exempt treatment under Section 2887 of this title; and

4. The owner of which has not entered into any agreement with any taxing unit to make payments to the taxing unit instead of taxes on the property.

C. In determining the fair cash value of a property described in subsection B of this section, the county assessor shall determine the fair cash value of property that is under active construction or lease-up on January 1 of the current tax year in the manner provided by Section 8 of Article X of the Oklahoma Constitution using the restricted rent income approach method, provided that the county assessor shall estimate the property's net operating income based on the organization's projected restricted rent income and expenses for the first full year of operation, as adjusted to reflect the average occupancy during the lease-up period.

D. In determining the fair cash value for a property for any subsequent tax year, the county assessor shall determine the fair cash value of the property based upon the restricted rent income approach method utilizing the property's net operating income from the audit provided by the organization.

E. In determining the fair cash value of property described in subsection B of this section, the county assessor shall not consider the value or any amount of any federal or state low-income housing tax credits as a component of the fair cash value or income attributable to the property.

F. The county assessor shall determine a formal process for determining market-derived capitalization rates to be applied to the property's net operating income based on project and investor data for comparable properties with restricted rents.

G. Not later than May 1 of each year, the organization shall deliver to the county assessor the audit for the preceding year. The county assessor may extend the deadline for good cause shown.

SECTION 2. This act shall become effective January 1, 2027.

60-2-16865 AO 03/02/26